

SCHEME DURATION

- ◆ 4 years (FY 2023-24 to 2026-27)

IMPLEMENTING PARTNERS

- ◆ Implementing Agency – Small Industries Development Bank of India (SIDBI).
- ◆ All Scheduled Commercial Banks, All India Financial Institutions (including SIDBI), Small Finance Banks, and Non-Banking Financial Companies (NBFCs), Micro Finance Institutions (MFIs), would be eligible to participate in the Scheme, after signing a Memorandum of Understanding (MoU) with SIDBI.

EXPECTED IMPACT

- ◆ More than 3400 units would be benefited from implementing brownfield projects of MSE units.

Please visit our website www.msme.gov.in/ for more details.



GOVERNMENT OF INDIA
MINISTRY OF MICRO, SMALL & MEDIUM ENTERPRISES



MSE SCHEME FOR PROMOTION AND INVESTMENT IN CIRCULAR ECONOMY (MSE - SPICE)

A SUB-SCHEME UNDER

Raising and Accelerating MSME Performance (RAMP)

INTRODUCTION

The global landscape is witnessing a paradigm shift towards sustainability, with increasing recognition of the imperative to adopt circular economy principles. Circular economy practices enable MSMEs to optimize resource usage by promoting recycling, reuse, and responsible consumption. This not only reduces the environmental footprint but also enhances operational efficiency and cost-effectiveness. In the overall global sustainability effort, encouraging circular practices in micro and small enterprises (MSEs) has become a strategic necessity. The introduction of the MSE - Scheme for Promotion and Investment in Circular Economy (MSE - SPICE) is a proactive step to harness the potential of MSEs in driving sustainable development.

MSE SPICE is a pioneering initiative by the Ministry of Micro, Small and Medium Enterprises (MoMSMEs) dedicated to empowering Micro, Small Enterprises (MSEs) in embracing sustainable practices through the circular solutions.

The primary goal of this scheme is to promote resource efficiency, reduce environmental impact, and enhance the competitiveness of MSEs in India.

OBJECTIVES

Promote Circular Economy and incentivize MSEs to adopt CE and thereby contribute to achieving G20 goals made by the Government of India regarding CE.

Enable MSEs to comply with Extended Producers Responsibility (EPR) and Waste Recycling targets set for industries

Spread awareness among MSEs for adoption of Circular Economy and resource efficiency



COMPONENTS OF THE SCHEME

The Scheme has two components namely, Credit Linked Capital Subsidy and Information, Education, and Communication Component (IEC).



Credit Linked Capital Subsidy component will address the need for the availability of affordable finance to the MSEs to adopt Circular Solutions (both domestic and global inclusive of taxes and duties). In Brown Field Projects, this component upgrades/expands existing CE projects to promote/implement CE principles across MSEs. A maximum of INR 50 lakhs is admissible under the scheme with 25 % subsidy only for plant and machinery. Under the Scheme, projects costing more than INR 50 Lakhs will also be eligible, but subsidy shall be limited to INR 12.5 Lakhs.



Awareness Generation & IEC : Awareness generation/Demand Creation component would be organized across MSE clusters by engaging specialized organizations/agencies at the National/ International level who have expertise and experience in the implementation of CE solutions . The IEC component will address the supply and demand side constraints by addressing the capacity gaps in financial institutions in adopting CE principles. This component will support the scheme implementation and operationalize the monitoring and evaluation framework of the scheme.

ELIGIBILITY AND COVERAGE OF THE SCHEME

- ◆ MSE registered under the Udyam Registration portal are eligible. They can utilize the scheme only for brownfield projects.
- ◆ Primary Lending Institution (PLIs): All Scheduled Commercial Banks, All India Financial Institutions (including SIDBI), Small Finance Banks, and Non-Banking Financial Companies (NBFCs), Micro Finance Institutions (MFIs), would be eligible to participate in the Scheme, after signing a Memorandum of Understanding (MoU) with SIDBI.